THE MODEL TENANCY ACT, 2021

Jurisdiction: Central / Model Framework for States & Union Territories

An Act to establish Rent Authority to regulate renting of premises and to protect the interests of landlords and tenants and to provide speedy adjudication mechanism for resolution of disputes and matters connected therewith or incidental thereto.

CHAPTER I: PRELIMINARY

Section 2 - Definitions:
(a) 'landlord' means a person who, for the time being is receiving, or is entitled to receive, the rent of any premises, whether on his own account, or on account of, or on behalf of, or for the benefit of, any other person or as a trustee, guardian or receiver for any other person;
(b) 'property manager' means a person or any legal entity who is authorised by the landlord to manage the premises;
(c) 'rent authority' means an officer appointed as Rent Authority under Section 30;
(d) 'rent court' means a Rent Court constituted under Section 33;
(e) 'rent tribunal' means a Rent Tribunal constituted under Section 34;
(f) 'security deposit' means the money given by the tenant to the landlord as an advance for the due performance of the tenancy agreement;
(g) 'tenant' means a person by whom or on whose account or behalf the rent of any premises is, or, but for a contract express or implied, would be payable for any premises.

CHAPTER II: TENANCY & SECURITY DEPOSIT

Section 4 - Tenancy Agreement:
(1) Notwithstanding anything contained in any other law for the time being in force, no person shall, after the commencement of this Act, let or take on rent any premises except by an agreement in writing.
(2) The landlord and tenant shall jointly inform the Rent Authority about the tenancy agreement in the form specified in the First Schedule within a period of two months from the date of execution.

Section 11 - Security Deposit:
(1) The security deposit to be paid by the tenant in advance shall be:
(a) not exceeding two months' rent, in case of residential premises; and
(b) not exceeding six months' rent, in case of non-residential premises.
(2) The security deposit shall be refunded to the tenant by the landlord at the time of taking over vacant possession of the premises, after making due deduction of any liability of the tenant in terms of the tenancy agreement.

CHAPTER III: RIGHTS AND OBLIGATIONS OF LANDLORD AND TENANT

Section 13 - Entry into Premises:
(1) A landlord or the property manager shall not enter the premises let out to the tenant without giving prior notice of at least twenty-four hours to the tenant.
(2) The notice shall specify the reason for entry, the day and time between 9:00 AM and 7:00 PM.

Section 15 - Maintenance of Premises:
(1) Both the landlord and the tenant shall keep the premises in as good a condition as at the commencement of the tenancy, except for normal wear and tear.
(2) Structural repairs, whitewashing, and external maintenance shall be the responsibility of the landlord.
(3) Routine maintenance, minor electrical and plumbing repairs, and internal upkeep shall be the responsibility of the tenant as agreed in the Second Schedule.

Section 20 - Prohibition on Withholding Essential Services:

(1) No landlord or property manager shall, either by himself or through any person, withhold or cut off any essential supply or service in the premises occupied by the tenant.
(2) Essential services include supply of water, electricity, piped gas, lights in passages and on staircases, lifts and conservancy or sanitary services.
(3) Where a landlord withholds essential services, the Rent Authority may pass an interim order directing immediate restoration and impose a compensation penalty on the landlord.

CHAPTER IV: REVISION OF RENT & EVICTION

Section 9 - Revision of Rent:
(1) The revision of rent between the landlord and the tenant shall be in accordance with the terms of the tenancy agreement.
(2) The landlord shall give a notice in writing for three months before the revised rent becomes payable.

Section 21 - Protection Against Eviction:
(1) A tenant shall not be evicted during the subsistence of tenancy agreement except on an application made by the landlord to the Rent Court on one or more of the following grounds:
(a) the tenant does not agree to pay the agreed revised rent;
(b) the tenant has failed to pay rent and other arrears for more than two consecutive months;
(c) the tenant has parted with the possession of whole or any part of the premises without obtaining the written consent of the landlord;
(d) the tenant has caused substantial structural damage to the premises without written consent.